

Notes: Albert, Glitz & Llull (AER, 2026)

Labor Market Competition and the Assimilation of Immigrants

Contents

1	Big picture	2
2	Data and measurement	2
2.1	Sample and cohort structure	2
2.2	Labor markets and aggregate skill supplies	3
2.3	Descriptive changes in immigrant cohorts	3
2.4	Wage assimilation profiles	3
3	Model and empirical specifications	3
3.1	Production function	3
3.2	Skill bundles and immigrant skill accumulation	4
3.3	Idiosyncratic productivity	4
3.4	Wage equation	4
3.5	Labor-market competition effect	4
3.6	Estimation and decomposition	5
4	Identification and empirical design	5
4.1	What identifies the competition channel	5
4.2	Why Figure 2 matters	5
4.3	Threats and robustness	5
5	Tables and figures	6
5.1	Table 1 and Figure 1: cohort composition and wage assimilation	6
5.2	Figure 2 and Figure 3: cohort size and dynamic competition	6
5.3	Figure 4 and Figure 5: specific-skill accumulation and English proficiency	7
5.4	Table 2 and Figure 6: estimated technology and wage-gap decomposition	7
5.5	Table 3 and Figure 7: quantitative decomposition and group examples	8
5.6	Figure 8 and Figure 9: heterogeneity and robustness	9
6	Short summary	10
7	Conclusion	11
7.1	Core conclusion	11
7.2	Economic intuition	11
7.3	Takeaway	11

1 Big picture

- **Question.** Why have immigrant–native wage gaps and wage assimilation profiles changed so much across U.S. arrival cohorts since the 1960s?
- **Standard view.** The usual interpretation is that the initial wage gap measures immigrant “quality” at arrival, while wage convergence reflects the speed of host-country human-capital accumulation.
- **Main contribution.** The paper shows that this interpretation is incomplete because immigrant wage assimilation is also shaped by dynamic labor-market equilibrium effects.
- **Mechanism.** Immigrants and natives supply different bundles of skills. Immigrants arrive with relatively fewer host-country-specific skills, so they are not perfect substitutes for natives. Rising immigrant inflows increase the relative supply of general skills, lower the relative price of those skills, and widen the immigrant–native wage gap.
- **Model.** Workers supply two skill types: general skills and host-country-specific skills. A CES production function combines aggregate supplies of the two skills. Immigrants accumulate specific skills as they spend time in the United States.
- **Data.** The paper estimates the model using U.S. Census and American Community Survey data from 1970 to 2019, focusing mainly on men aged 25–64.
- **Core result.** Labor-market competition explains about one-fifth of the increase in the average immigrant–native wage gap across arrival cohorts since the 1960s.
- **Demand channel.** When shifts in relative skill demand are included, the model explains about one-third of the average increase in wage gaps.
- **Heterogeneity.** The effect is very large for some groups, such as Mexican high school dropouts, and almost zero for groups whose skills closely resemble natives, such as Western college graduates.
- **Selection result.** Conditional on education and origin, more recent immigrants appear more positively selected in unobserved host-country-specific skills, even though observed wage gaps widened because equilibrium competition and demand shifted against them.
- **Takeaway.** Immigrant assimilation is not only an individual human-capital story. It is also an equilibrium labor-market story in which cohort size, skill substitutability, and technology jointly determine relative wages.

2 Data and measurement

2.1 Sample and cohort structure

- The empirical analysis uses repeated cross sections from the U.S. Census and the American Community Survey covering 1970–2019.
- The main sample focuses on immigrant and native men aged 25–64 with positive income and not living in group quarters.
- Immigrant arrival cohorts are grouped by decade: 1960–1969, 1970–1979, 1980–1989, 1990–1999, 2000–2009, and 2010–2019.
- Individuals are weighted using IPUMS personal weights rescaled by annual hours worked.
- The main outcome is log hourly wage, usually expressed as the wage gap between immigrants and observationally comparable natives.

Interpretation: The repeated cross-section design allows the authors to track wage assimilation profiles over many decades even though the same individual is not followed over time.

2.2 Labor markets and aggregate skill supplies

- Labor markets are defined by state and census year.
- For each state-year, the model aggregates individual supplies of general skills and specific skills.
- Cohort size is measured as the inflow rate: the size of an immigrant arrival cohort relative to the native population in the state.
- The key empirical idea is that larger inflows change local relative skill supplies and therefore equilibrium skill prices.

Interpretation: The analysis does not treat immigrant wages as depending only on individual characteristics. A worker’s relative wage also depends on the skill mix of the local economy.

2.3 Descriptive changes in immigrant cohorts

- Immigrant cohort sizes rise sharply over time. Table 1 reports cohort sizes of 0.8 million in the 1960s, 2.3 million in the 1980s, 3.8 million in the 1990s, and 4.7 million in the 2000s.
- Education improves substantially. The share of high school dropouts falls from 46.6 percent for the 1960s cohort to 15.2 percent for the 2010s cohort.
- The share of college graduates rises from 20.3 percent to 47.6 percent.
- Origin composition also changes: Mexican and Latin American shares grow in the middle cohorts, while the Asian share rises strongly in later cohorts.

Interpretation: These compositional changes matter for cohort quality, but the paper’s contribution is to show that they do not fully explain the wage assimilation patterns.

2.4 Wage assimilation profiles

- The standard empirical profile regresses log wages on year fixed effects, age polynomials, cohort-of-entry effects, and interactions with years since migration.
- Figure 1 plots two versions of the results: raw year-by-year coefficients and fitted profiles.
- Panel A shows the wage gap relative to natives. Panel B normalizes initial gaps to zero to show relative wage growth.

Interpretation: The profiles show that initial wage gaps widened for later cohorts and that the speed of wage growth slowed, motivating the need to separate cohort quality from equilibrium competition effects.

3 Model and empirical specifications

3.1 Production function

Let G_t denote aggregate general skills and S_t denote aggregate host-country-specific skills. Output is produced using a CES technology:

$$Y_t = A_t \left(G_t^{\frac{\sigma-1}{\sigma}} + \delta_t S_t^{\frac{\sigma-1}{\sigma}} \right)^{\frac{\sigma}{\sigma-1}}, \quad (1)$$

where A_t is total factor productivity, δ_t shifts relative demand for specific skills, and σ is the elasticity of substitution between general and specific skills.

The equilibrium prices of the two skills satisfy

$$\frac{r_{St}}{r_{Gt}} = \delta_t \left(\frac{G_t}{S_t} \right)^{1/\sigma}. \quad (2)$$

Interpretation: If σ is finite, a larger relative supply of general skills lowers the price of general skills relative to specific skills. Since immigrants supply relatively more general skill at arrival, larger immigrant inflows can lower immigrant relative wages.

3.2 Skill bundles and immigrant skill accumulation

Natives are normalized to supply one unit of specific skill. Immigrants supply a fraction $s_g(0, y, o, c, E, x)$ of the specific skill of comparable natives, where y is years in the United States, o is origin, c is cohort, E is education, and x is potential experience. The paper uses a flexible polynomial structure:

$$s_g(n, y, o, c, E, x) = \begin{cases} 1, & n = 1, \\ \theta_{1go} + \sum_{\ell=1}^3 \theta_{2\ell go} y^\ell + \theta_{3ge} + \sum_{\ell=1}^3 \theta_{4\ell ge} y^\ell + \sum_{\ell=1}^3 \theta_{5\ell g} (x - y)^\ell + \theta_{6gc} + \sum_{\ell=1}^3 \theta_{7\ell gc} y^\ell, & n = 0. \end{cases} \quad (3)$$

Interpretation: This specification lets specific-skill levels and accumulation rates vary by origin, education, cohort, gender, and experience at arrival.

3.3 Idiosyncratic productivity

Both general and specific skill supplies are scaled by a Mincerian productivity term:

$$h_{gt}(E, x, \varepsilon) = \exp \left(\eta_{0get} + \eta_{1gt} E + \sum_{\ell=1}^3 \eta_{2\ell gt} x^\ell + \varepsilon \right). \quad (4)$$

Interpretation: This captures standard human-capital components: education, experience, year-specific returns, and unobserved productivity.

3.4 Wage equation

Workers are paid according to their skill bundles:

$$w_{gt}(n, y, o, c, E, x, \varepsilon) = [r_{Gt} + r_{St} s_g(n, y, o, c, E, x)] h_{gt}(E, x, \varepsilon). \quad (5)$$

The immigrant wage relative to an observationally equivalent native is

$$\frac{w_{gt}(0, y, o, c, E, x, \varepsilon)}{w_{gt}(1, \cdot, \cdot, \cdot, E, x, \varepsilon)} = \frac{1 + s_g(0, y, o, c, E, x) \delta_t (G_t/S_t)^{1/\sigma}}{1 + \delta_t (G_t/S_t)^{1/\sigma}}. \quad (6)$$

Interpretation: This equation is the core of the paper. Relative wages depend on individual specific-skill accumulation and on aggregate relative skill supplies.

3.5 Labor-market competition effect

The derivative of the wage ratio with respect to the relative supply of general skills is weakly negative when immigrants have fewer specific skills than natives:

$$\frac{d[w_{gt}(0, y, o, c, E, x, \varepsilon)/w_{gt}(1, \cdot, \cdot, \cdot, E, x, \varepsilon)]}{d(G_t/S_t)} \leq 0. \quad (7)$$

Interpretation: Larger immigrant inflows increase G_t/S_t because new immigrants disproportionately supply general skills. This raises competition among immigrants and widens their wage gap relative to natives.

3.6 Estimation and decomposition

- The model is estimated by nonlinear least squares.
- The skill accumulation parameters are estimated using individual-level wage variation.
- The technology parameters σ and δ_t are identified from relative wage differences across state-year labor markets.
- The estimated model is then used for counterfactual decompositions: remove the competition effect, remove both competition and demand effects, and compare predicted wage assimilation profiles.

Interpretation: The decomposition separates three forces: cohort quality, labor-market competition from changing skill supplies, and demand shifts favoring specific skills.

4 Identification and empirical design

4.1 What identifies the competition channel

- The model uses variation in immigrant cohort sizes across states and decades.
- Larger state-cohort inflows predict larger initial wage gaps.
- The estimated production function translates cohort-size changes into changes in relative skill prices.
- Counterfactual simulations then ask what wages would have looked like if the relative skill supplies or demand shifters had not changed.

Interpretation: Identification does not come from a single natural experiment. It comes from a structural model disciplined by cross-state and cross-cohort wage variation plus observed changes in cohort sizes and composition.

4.2 Why Figure 2 matters

- Figure 2 shows prima facie evidence that larger immigrant inflows are associated with larger initial wage gaps.
- The slope in the initial-gap panel is negative: -3.38 with standard error 1.41 .
- The relationship between the following cohort's inflow and first-decade wage growth is less precise and theoretically ambiguous.

Interpretation: This descriptive evidence motivates the structural mechanism, but the full decomposition requires the model because wage growth depends on the timing of inflows, skill accumulation, and demand shifts.

4.3 Threats and robustness

- Selective return migration may bias repeated-cross-section assimilation profiles.
- Undercounting of undocumented immigrants may mismeasure cohort size.
- Social networks may affect wages independently of labor-market competition.
- Immigrant location choices may be endogenous to local labor-market conditions.
- The paper performs robustness checks for these and alternative production-function assumptions.

Interpretation: The robustness figure shows that the main competition and demand decompositions remain similar across many alternative specifications.

5 Tables and figures

This section keeps the same *Read* plus *Economic message* structure used in the earlier notes. Adjacent visuals are grouped to save space and make comparisons faster.

5.1 Table 1 and Figure 1: cohort composition and wage assimilation

Read:

- Table 1 shows rapidly increasing cohort sizes and large shifts in education and origin composition.
- The high school dropout share falls sharply, while the college graduate share rises.
- Figure 1, panel A shows that initial immigrant-native wage gaps widened for the 1970s and 1980s cohorts relative to the 1960s cohort.
- Figure 1, panel B shows that relative wage growth slowed for more recent cohorts, especially the 1990s cohort.

Economic message: The descriptive patterns create the central puzzle: immigrant cohorts became more educated, yet their average wage gaps widened and their wage convergence slowed.

	Cohort of entry					
	1960-1969	1970-1979	1980-1989	1990-1999	2000-2009	2010-2019
Share of population (percent)	3.0	4.2	5.5	7.6	9.0	7.3
Cohort size (millions)	0.8	1.4	2.3	3.8	4.7	4.2
Men (percent)	64.9	61.9	62.5	61.8	60.2	59.6
Age	38.3	36.7	36.5	36.8	37.8	38.0
Hourly wage	16.6	16.0	14.5	15.9	14.2	18.1
HS dropouts (percent)	46.6	41.0	31.4	28.1	26.2	15.2
HS graduates (percent)	22.1	21.3	24.8	28.8	28.3	25.5
Some college (percent)	11.0	11.8	17.2	12.0	11.8	11.7
College graduates (percent)	20.3	25.9	26.6	31.1	33.7	47.6
Mexico (percent)	8.5	20.0	18.6	25.8	27.4	13.4
Other Latin America (percent)	30.3	21.4	26.9	22.0	26.6	28.0
Western countries (percent)	37.0	17.2	11.1	9.7	6.6	8.3
Asia (percent)	14.6	34.0	35.6	29.3	28.5	37.9
Other (percent)	9.5	7.4	7.8	13.2	10.9	12.4

Notes: The statistics are based on the sample of immigrants aged 25-64 reporting positive income (not living in group quarters) who entered the United States during the respective time intervals, measured in the first census year following the arrival. Observations are weighted by the personal weights obtained from IPUMS, rescaled by annual hours worked.

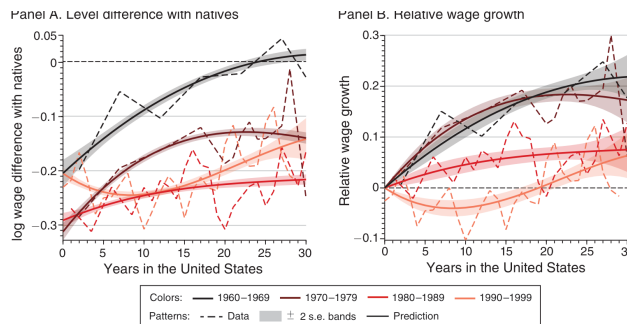


FIGURE 1. WAGE GAP BETWEEN NATIVES AND IMMIGRANTS AND YEARS IN THE UNITED STATES

Notes: The figure shows the prediction of the wage gap between native and immigrant men of different cohorts as they spend time in the United States. The dashed lines represent the raw data and are the result of `year.by.cohort`.

However, despite this considerable improvement in immigrants' educational attain-

(a) Table 1: immigrant cohort descriptive statistics.

(b) Figure 1: wage gaps and relative wage growth.

5.2 Figure 2 and Figure 3: cohort size and dynamic competition

Read:

- Figure 2, panel A shows that larger state-cohort inflows are associated with larger initial wage gaps.
- Figure 2, panel B shows a weaker relationship between following-cohort inflows and first-decade wage growth.
- Figure 3 provides the model intuition: more competition shifts the immigrant wage profile downward.
- If convergence is only partial, rising competition can slow long-run assimilation because immigrants remain relatively exposed to the price of general skills.

Economic message: Cohort size matters because new immigrants change the market-clearing prices of skill types. Assimilation profiles therefore shift not only because individuals learn, but because markets move around them.

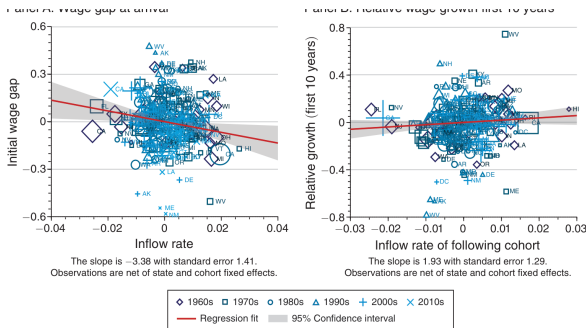


FIGURE 2. COHORT SIZE, INITIAL WAGE GAP, AND RELATIVE WAGE GROWTH

Notes: The figure shows the initial wage gap for different states, cohort sizes, and the slope of the wage gap.

(a) Figure 2: cohort size, initial wage gap, and growth.

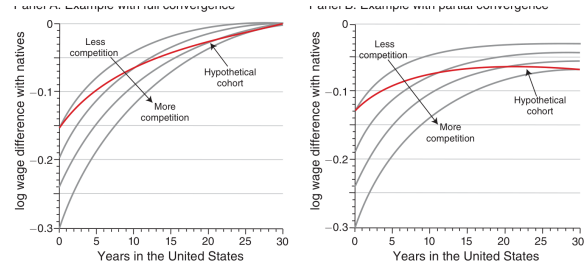


FIGURE 3. DYNAMIC COMPETITION EFFECT: A STYLIZED EXAMPLE

Notes: The figure plots hypothetical convergence paths for different levels of competition. The colored line that cuts across the hypothetical convergence paths represents the assimilation profile one would observe in the data for a hypothetical cohort that experienced rising levels of competition across decades. The light gray lines represent the hypothetical assimilation path for each level of competition. The left figure shows an example that exhibits full long-run wage convergence; the right figure one in which the hypothetical cohort only converges partially to native

(b) Figure 3: stylized dynamic competition effect.

5.3 Figure 4 and Figure 5: specific-skill accumulation and English proficiency

Read:

- Figure 4 shows that most immigrant groups arrive with fewer U.S.-specific skills than comparable natives but accumulate them over time.
- Western immigrants start closest to natives; Mexican and Latin American immigrants start farther away.
- By education, immigrant high school dropouts are closest to native dropouts, while college graduates begin with larger relative specific-skill gaps.
- By cohort, more recent cohorts arrive with higher specific skills but accumulate them more slowly.
- Figure 5 shows similar patterns for English proficiency, validating the interpretation of the latent specific-skill measure.

Economic message: The skill profiles show why immigrants and natives are imperfect substitutes and why the degree of substitutability varies across groups and over time in the United States.

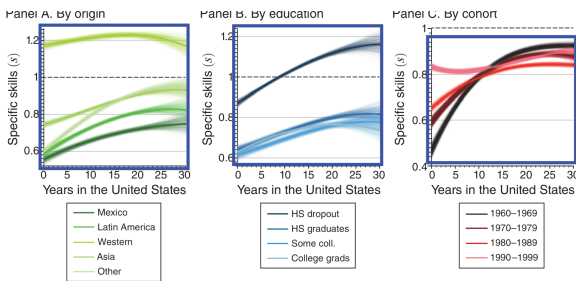


FIGURE 4. SKILL ACCUMULATION PROFILES, $s_0(0, y, o, c, E, x)$

Notes: The figure displays predicted skill accumulation profiles for different groups based on the estimates reported in Supplemental Appendix Table G2. The baseline individual in all figures is a synthetic individual with the average characteristics of all immigrant men in the sample, except for the characteristic that is being plotted in each

(a) Figure 4: skill accumulation profiles.

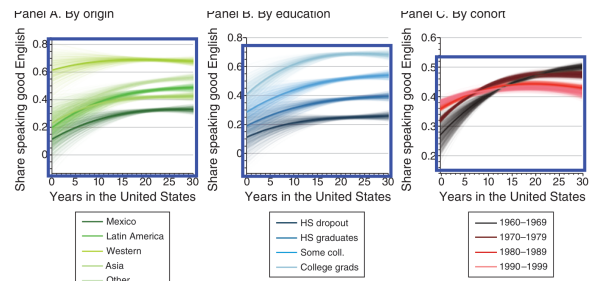


FIGURE 5. ENGLISH PROFICIENCY

Notes: The figure displays English language proficiency profiles predicted from a linear regression of an indicator for "speaking English very well" or "only speaking English" on all the variables included in the specific-skills function $e_i(x)$ and year dummies on a sample of men. The baseline individual in all figures is a synthetic individual with

(b) Figure 5: English proficiency profiles.

5.4 Table 2 and Figure 6: estimated technology and wage-gap decomposition

Read:

- Table 2 estimates the elasticity of substitution between general and specific skills at $\sigma = 0.021$.
- The relative demand for specific skills rises by about 0.017 log points per year.
- Figure 6 decomposes observed wage profiles into baseline, no-competition, and no-competition-plus-no-demand scenarios.

- For the 1970s and 1980s cohorts, competition explains 16.4 and 50.3 percent of the increase in the initial gap relative to the 1960s cohort.
- Adding demand shifts raises these initial-gap shares to 33.6 and 95.7 percent.

Economic message: The small substitution elasticity means that changes in relative skill supplies have large price effects. Rising demand for specific skills further amplifies the wage penalty faced by groups with fewer specific skills.

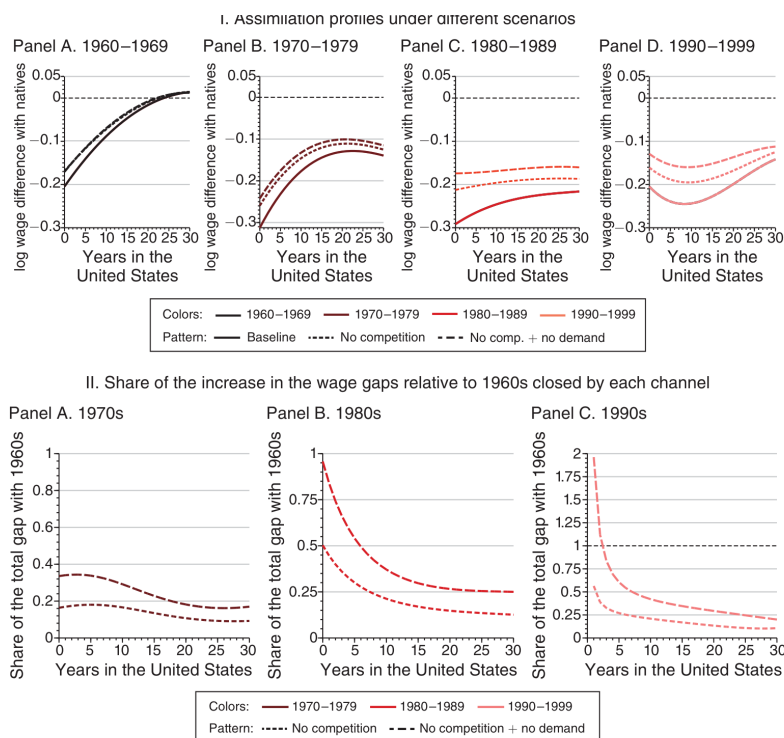


TABLE 2—ELASTICITY OF SUBSTITUTION σ AND RELATIVE DEMAND SHIFT δ

	Point estimate	Standard error	Corrected standard error	Confidence interval
Elasticity of substitution (σ)	0.021	(0.002)	[0.002]	[0.018, 0.026]
Trend in relative demand (δ)	0.017	(0.002)	[0.002]	

Notes: The table presents parameter estimates for the elasticity of substitution between general and specific skills σ , and for the demand shift parameter δ . Both parameters are defined in equation (1) and are estimated by NLS as described in Section III.C. Corrected standard errors account for the additional error introduced in the first stage and are derived in Supplemental Appendix F.

FIGURE 6. WAGE GAP DECOMPOSITION: COMPETITION AND DEMAND EFFECTS

Notes: The figure shows baseline and counterfactual predictions of the unconditional wage gaps between native and immigrant men for different cohorts as they spend time in the United States. Each plot represents one cohort. The depicted lines in panel I are predicted assimilation profiles obtained from regressions analogous to those underlying Figure 1, estimated on the predicted wages under the different counterfactual scenarios. The baseline profiles (solid) correspond to the solid lines in Figure 1. The counterfactuals represent assimilation profiles in the absence

(a) Table 2: technology estimates.

(b) Figure 6: competition and demand decomposition.

5.5 Table 3 and Figure 7: quantitative decomposition and group examples

Read:

- Table 3 summarizes the decomposition at arrival, after 10, 20, and 30 years, and averaged over years in the United States.
- Averaged over time, the competition effect closes 13.5 percent of the gap increase for the 1970s cohort, 21.3 percent for the 1980s cohort, and 19.2 percent for the 1990s cohort relative to the 1960s cohort.
- Adding demand effects raises those average shares to 24.3, 38.8, and 44.8 percent.
- Figure 7 shows heterogeneity: Mexican high school dropouts are strongly affected by competition, Latin American high school graduates are also affected, and Western college graduates are nearly unaffected.

Economic message: Competition is not a uniform immigrant effect. It operates most strongly for groups whose skill bundles are farthest from natives and most exposed to general-skill price changes.

TABLE 3—WAGE GAP DECOMPOSITION: COMPETITION AND DEMAND EFFECTS

Cohort	Years in the United States				Average across years in the US
	0 years	10 years	20 years	30 years	
<i>Panel A. Wage gap with natives (in log points difference)</i>					
i. Baseline					
1960–1969	–20.5	–8.8	–1.6	1.4	–6.4
1970–1979	–31.2	–17.7	–13.0	–14.0	–17.3
1980–1989	–29.1	–24.6	–22.5	–21.6	–24.0
1990–1999	–20.5	–24.4	–19.9	–14.2	–20.8
ii. No competition effect					
1960–1969	–16.9	–7.2	–0.9	1.4	–5.1
1970–1979	–25.9	–14.6	–11.1	–12.5	–14.6
1980–1989	–21.2	–19.6	–18.7	–18.7	–19.4
1990–1999	–16.1	–19.5	–16.8	–12.5	–17.1
iii. No competition and no demand effects					
1960–1969	–17.1	–7.0	–0.8	1.2	–5.0
1970–1979	–24.2	–13.3	–10.1	–11.5	–13.4
1980–1989	–17.4	–16.9	–16.1	–16.0	–16.5
1990–1999	–12.9	–16.0	–13.7	–11.2	–14.1
<i>Panel B. Percent of the baseline wage gap with the 1960s cohort closed by each channel</i>					
i. No competition effect					
1970–1979	16.4	16.6	10.7	9.3	13.5
1980–1989	50.3	21.3	14.8	12.6	21.3
1990–1999	—	20.9	13.4	10.7	19.2
ii. No competition and no demand effects					
1970–1979	33.6	29.2	18.2	17.0	24.3
1980–1989	95.7	37.1	26.6	25.0	38.8
1990–1999	—	42.1	29.4	20.0	44.8

Notes: The table presents the wage gap with natives (in log points) and the fraction of the gap of each cohort's assimilation profile relative to the 1960s cohort that is explained by each mechanism (in percentages) at different points in time. These results summarize the information provided in Figure 6.

respectively.¹⁹ More labor market competition and rising demand for specific skills

(a) Table 3: decomposition in log points and percentages.

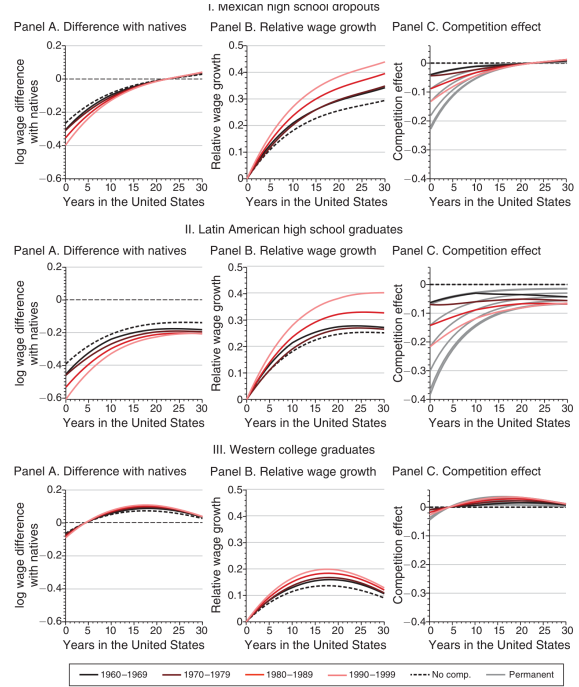


FIGURE 7. HETEROGENEOUS LABOR MARKET COMPETITION EFFECTS: EXAMPLES

(b) Figure 7: heterogeneous examples.

5.6 Figure 8 and Figure 9: heterogeneity and robustness

Read:

- Figure 8 shows the distribution of competition effects across 80 immigrant types.
- Competition usually worsens the initial wage gap; for some groups it widens the gap by more than 10 log points.
- Effects on relative wage growth are more mixed: some groups experience faster growth, while others experience slower long-run assimilation.
- Figure 9 shows robustness checks. The baseline counterfactual profiles remain close to profiles under alternative specifications.

Economic message: The competition channel is quantitatively important and robust, but its effect depends on the exact group and horizon. This is why the paper emphasizes heterogeneity rather than one average assimilation curve.

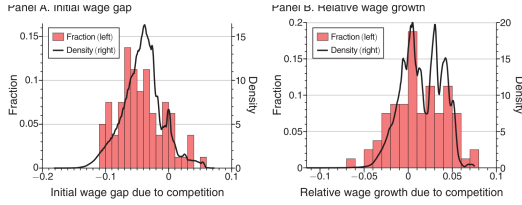


FIGURE 8. HETEROGENEOUS LABOR MARKET COMPETITION EFFECTS

Notes: The histograms show by how much labor market competition changed the initial wage gap (panel A) and relative wage growth over the first 30 years (panel B) for the 80 immigrant groups distinguished in our analysis (4 initial cohorts $\times$ 5 origin groups $\times$ 4 education levels, computed at the common potential experience cohort) relative to natives.

(a) Figure 8: distribution of heterogeneous competition effects.

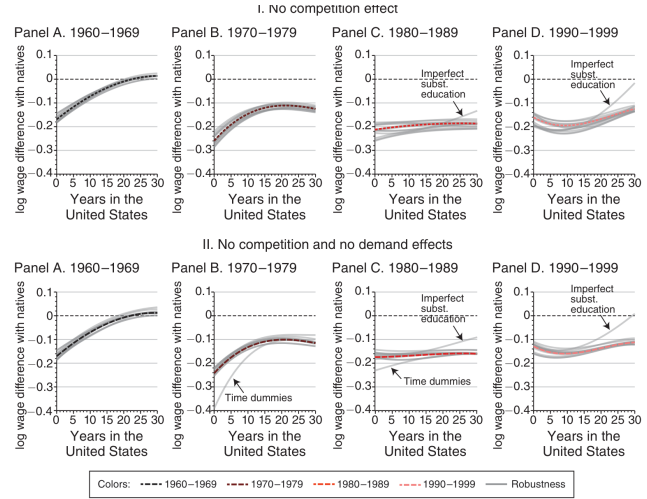


FIGURE 9. ASSIMILATION PROFILES UNDER ALTERNATIVE SPECIFICATIONS

Note: The figure reproduces the counterfactual assimilation profiles described in Figure 6 (panel I) for the different scenarios (colored lines) and the different robustness checks described in the text (gray lines).

(b) Figure 9: robustness profiles.

6 Short summary

- The paper studies wage assimilation of immigrants in the United States from 1970 to 2019.
- It argues that changing immigrant “quality” is not the only reason wage gaps changed across cohorts.
- Immigrants and natives supply different mixes of general and host-country-specific skills.
- New immigrants tend to have fewer specific skills, so immigrant inflows increase the relative supply of general skills.
- With imperfect substitutability, this lowers the relative price of general skills and widens immigrant–native wage gaps.
- The model combines CES production, flexible skill accumulation, and Mincerian individual productivity.
- Estimation by nonlinear least squares identifies skill accumulation and technology parameters from individual and state-year wage variation.
- The elasticity of substitution between general and specific skills is estimated to be very low, $\sigma = 0.021$.
- Relative demand for specific skills rises over time, further increasing the value of native-like skill bundles.
- Competition explains roughly one-fifth of the average increase in wage gaps across cohorts.
- Competition plus demand shifts explain roughly one-third to nearly one-half, depending on cohort and horizon.
- Conditional on origin and education, later immigrant cohorts look more positively selected in unobserved specific skills.
- Effects are very heterogeneous: Mexican high school dropouts are strongly affected; Western college graduates are not.
- Robustness checks show that return migration, undocumented undercounting, networks, location choices, and functional-form changes do not overturn the main conclusions.

7 Conclusion

7.1 Core conclusion

Albert, Glitz, and Llull show that immigrant wage assimilation is shaped by both individual skill accumulation and labor-market equilibrium. Larger immigrant cohorts change aggregate relative skill supplies. When immigrants and natives are imperfect substitutes, these supply changes shift equilibrium skill prices and widen wage gaps.

7.2 Economic intuition

A newly arrived immigrant has fewer host-country-specific skills than an otherwise similar native. If many such immigrants arrive, the economy has more general skills relative to specific skills. General skills become cheaper relative to specific skills. Because immigrants rely more on general skills, their wages fall relative to natives. Over time, immigrants accumulate specific skills and become closer substitutes for natives, so the competition effect declines but does not necessarily disappear.

7.3 Takeaway

The paper changes how we interpret assimilation curves. A wider initial wage gap does not automatically mean lower immigrant quality, and slower wage convergence does not only reflect lower individual investment. Part of what looks like cohort quality is actually an equilibrium price effect created by immigration itself and by rising demand for host-country-specific skills.